LEGAL ENTITY STRUCTURING PROPOSAL v2

Full Capital Channels Map — Internal Reference

Channel 1: Contributors (Time / Labor)

Who: Individuals like Nora, Kirsten, Matheus, developers, community members

Step	What Happens
Inject	Contribute time, labor, expertise, or in-kind resources
Get	TDG voting rights in the UNA — governance over mission, budget, partnerships
Exit	Submit DApp withdrawal request → TrueTech Inc buys back at NAV from operating cash → TDG burned

Constraints: Buyback is discretionary, subject to available reserves per the formula on truesight.me. No guaranteed exit.

Channel 2: Shipment Financiers (AGL Contracts)

Who: Individuals or entities financing cacao shipments

Step	What Happens
Inject	Working capital to purchase cacao shipment
Get	Repayment + fee from shipment sale proceeds
Exit	Contract ends when shipment sells — capital returned with fee

Counterparty: TrueTech Inc (commercial entity). Not the UNA.

Note for counsel: This pattern may raise a separate securities question under Reves (promissory note / investment contract). Not covered by the TDG Howey analysis.

Channel 3: Impact Funds / Family Offices (Mission-Aligned Capital)

Who: Foundations, family offices, HNWIs who want to fund tree planting

Step	What Happens
Inject	Grant or donation to the UNA
Get	Impact reports, verified tree-planting data, naming rights
Exit	No financial exit needed — pure impact. If 501(c)(3) obtained later, contribution can convert to tax-deductible status.

Counterparty: UNA (nonprofit). Not TrueTech Inc.

Important: Carbon credit rights are NOT granted to donors. Credits have fair market value and would reduce deductibility. Credits go to commercial funders only.

NAV reality check: ~\$0.0018/TDG (\$4,126 ÷ 2,306,000). Any fund buying at \$1/TDG pays 555x NAV — irrational.

Channel 4: Venture Capital (Future Optionality)

Who: VCs who want to fund technology development

Step	What Happens
Inject	Capital to build DApp, oracle, QR tracking, carbon credit system
Get	Equity or revenue share in TrueTech Inc (not the UNA — avoids nonprofit conflict)
Exit	Sell equity stake, revenue-share buyout, or secondary sale

Counterparty: TrueTech Inc (for-profit). Not the UNA.

> *Why future optionality: TrueTech Inc currently has no retained asset base. If a licensing model emerges (Bilal, Liz), TrueTech Inc would have recurring revenue + IP — making it VC-investable.*

Channel 5: Technology Licensors (Future Optionality)

Who: SMEs, cooperatives, other DAOs who want the infrastructure without building it

Step	What Happens
Inject	Licensing fee to TrueTech Inc
Get	Self-hosted instance of the DAO stack (Edgar, DApp, oracle, QR system)
Exit	Subscription ends, they keep their data

Counterparty: TrueTech Inc (for-profit).

> *Why this matters: Bilal (Butterfly Effect Club) wants Sophia for his investment fund (team of 5). Liz wants Sophia for deal flow + Edgar for trading ops. Both want their own instance.*

Revenue Distribution Model

Licensing revenue → TrueTech Inc collects → margin (operational costs) → surplus → buyback reserve → boosts NAV per TDG → all TDG holders benefit

DAO governance (TDG holders) sets: minimum license fee, TrueTech Inc margin cap, buyback allocation percentage.

> The UNA never touches the money directly (nonprofit constraint). But TDG holders control the economics through governance. The surplus from licensing directly increases the NAV calculation (total assets ÷ total TDG), making every holder's TDG more valuable.

The Data Flywheel Moat

The ecosystem is the training ground for the technology. Every cacao bag scanned, every contribution logged, every governance vote cast makes the system smarter. A new org licensing the tech gets the software, but they start with zero data.

> That data lives in the UNA/DUNA — governed by TDG holders — not in TrueTech Inc. So even if someone licenses the tech, they're licensing a tool, not the network intelligence.

Design Constraints

NAV Is the Natural Lockup: If a fund buys TDG at $1/TDG and NAV is ~$0.0018, they're already locked by economics — cashing out means a 99.8% loss. No artificial vesting schedules needed.

Buyback Capacity: TrueTech Inc's buyback capacity is its available operating cash flow, published as a formula on truesight.me. Buybacks are discretionary, not guaranteed.

> **NAV Reality Check:** Current NAV ~$0.0018/TDG. No rational fund buys at $1/TDG (555x NAV). Capital channels are naturally self-limiting.

Questions for Counsel

1. **TDG Howey analysis:** TDG issued for work, grants governance rights. TrueTech Inc may buy back at NAV from operating cash. Does TDG constitute a security under Howey?

2. **AGL securities question:** Individuals finance shipments for a return from sale proceeds. Does this raise a separate securities question under Reves?

3. **Revenue distribution:** If licensing revenue flows to TrueTech Inc and surplus boosts NAV via the buyback reserve, does this create securities or tax concerns for the UNA?

4. **Carbon credits:** Can the UNA grant future carbon credit rights to commercial funders without jeopardizing its nonprofit status or creating UBIT?
